

Guide to n8n Licensing for AI Consulting

Executive Summary

Running an AI consulting business using n8n requires careful attention to licensing compliance. The key insight is that n8n's Community Edition is free but restricted to internal business use only. However, there are several compliant ways to build a successful consulting practice around n8n, provided you understand the boundaries and structure your business appropriately.

Understanding n8n's Licensing Structure

The Sustainable Use License (Community Edition)

n8n uses a "fair-code" model with their Sustainable Use License, which is not technically open source but allows extensive free usage under specific conditions. The license permits:

 What's Allowed:

- Using n8n for your own internal business purposes
- Providing consulting services related to n8n (building workflows, custom features, support)
- Building workflows for clients if deployed on their infrastructure
- Charging consulting fees for workflow development and maintenance
- Setting up and maintaining n8n on client servers

 What's Prohibited:

- White-labeling n8n and selling it to customers
- Hosting n8n and charging people money to access it

- Creating SaaS products where value derives substantially from n8n functionality
- Using client credentials to access their data in workflows

Commercial License Options

For businesses that need to exceed Community Edition restrictions, n8n offers several paid options:

n8n Cloud Plans:

- Starter: €20/month (\$24/month) - 2,500 executions
- Pro: €50/month (\$60/month) - 10,000 executions
- Enterprise: Custom pricing - Unlimited executions

Enterprise Self-hosted License:

- Pricing: €10,000-20,000+ annually
- Removes commercial use restrictions
- Adds advanced features like SSO, audit logs, and dedicated support

n8n Embed License:

- Pricing: \$50,000+ annually
- Allows white-labeling and creating SaaS products
- Full commercial redistribution rights

Compliant Business Models for AI Consulting

Model 1: Client Infrastructure Deployment (Lowest Risk)

The safest approach involves deploying n8n on your client's own infrastructure:

How it works:

- Client sets up their own n8n instance (self-hosted or cloud subscription)
- You provide consulting services to build, configure, and maintain workflows
- Client retains ownership and control of the n8n installation
- You charge consulting fees separate from any n8n licensing costs

Legal compliance: This model is explicitly allowed under the Community Edition license because the client owns the n8n instance for their internal business use.

Model 2: n8n Cloud Consulting

If clients prefer managed hosting, you can work with n8n's cloud plans:

How it works:

- Client subscribes to appropriate n8n Cloud plan
- You're added as an administrator or consultant within their account
- You build and manage workflows within their subscription
- Client pays n8n directly for hosting; you charge for consulting services

Legal compliance: This avoids license violations because you're not reselling n8n or hosting it yourself.

Model 3: Enterprise License Partnership

For larger operations or when you need to host workflows for multiple clients:

How it works:

- Purchase an Enterprise license that allows commercial hosting
- Host workflows for multiple clients on your infrastructure
- Charge clients for both hosting services and workflow development
- Maintain proper security and data separation between clients

Legal compliance: Enterprise licensing removes most commercial restrictions and allows hosting for third parties.

Common Compliance Violations to Avoid

The "Automation-as-a-Service" Trap

Many consultants inadvertently violate the license by creating what amounts to a SaaS offering:

 Prohibited Example:

- You host n8n on your server
- Clients log into "your" n8n instance
- You charge monthly fees for access to workflows you've built
- This violates the Community Edition license even if workflows are custom-built

Credential Collection Issues

Using client credentials in workflows has specific restrictions:

 Not Allowed Under Community Edition:

- Collecting users' third-party service credentials (like their HubSpot login)

- Using those credentials to access their data through your n8n instance

✅ Allowed Under Community Edition:

- Using your own company's credentials to power backend services
- Client inputs queries/data, but all API credentials belong to you

White-labeling Without Permission

❌ Never Allowed Without Embed License:

- Removing n8n branding and adding your own
- Presenting n8n as your proprietary software
- Creating a "branded" automation platform using n8n

Risk Assessment and Penalties

Potential Consequences of License Violations

License violations can result in serious legal and financial consequences:

Financial Penalties:

- Payment of unpaid license fees for the period of violation
- Potential legal fees and court costs
- Damages based on commercial use that should have required licensing

Legal Actions:

- Cease and desist orders requiring you to stop operations
- Requirement to purchase retroactive Enterprise or Embed licenses
- Potential lawsuits for copyright infringement

Business Disruption:

- Forced shutdown of client services while resolving licensing
- Damage to professional reputation
- Loss of client trust and contracts

Early Warning Signs You May Need Commercial Licensing

Monitor these indicators that suggest you're approaching license boundaries:

- Clients asking to access "your" n8n interface directly
- Requests to brand the automation platform with your company name
- Multiple clients sharing the same n8n instance
- Revenue model based on workflow execution volume rather than consulting time
- Storing and using client credentials for third-party services

Best Practices for Compliance Protection

Documentation and Record-Keeping

Maintain Clear Records:

- Document which n8n instance belongs to which client
- Keep consulting agreements separate from software licensing
- Record deployment methods and hosting arrangements
- Maintain communication logs with n8n licensing team when seeking clarification

Professional Safeguards

Insurance and Legal Protection:

- Obtain professional liability insurance that covers software licensing issues
- Include licensing compliance clauses in client contracts
- Regular legal review of business practices as you scale
- Establish clear boundaries between consulting services and software provision

Client Education

Ensure Client Understanding:

- Educate clients about their own licensing obligations
- Provide documentation about n8n's license terms
- Help clients establish direct relationships with n8n for subscriptions
- Clarify ownership and control of n8n instances

Scaling Your AI Consulting Business Compliantly

Growing Within Community Edition Limits

You can build a substantial consulting practice using only the Community Edition by:

Specializing in Implementation Services:

- Focus on workflow design and optimization
- Provide training and knowledge transfer
- Offer ongoing maintenance and support contracts
- Develop custom nodes and integrations for clients

Building Complementary Services:

- AI strategy consulting beyond just n8n implementation
- Data architecture and integration planning
- Change management and user adoption services
- Performance optimization and monitoring

When to Consider Commercial Licensing

Indicators for Enterprise License:

- Managing workflows for 10+ clients simultaneously
- Need for advanced features like SSO or audit logging
- Requirements for dedicated support and SLAs
- Complex multi-tenant deployment scenarios

Indicators for Embed License:

- Plans to create a branded automation platform
- SaaS product development using n8n as core functionality
- White-labeling requirements for client presentations
- Revenue model based on per-execution or subscription fees

Technical Implementation Guidelines

Secure Client Deployment

Self-hosted Client Setup:

- Provide detailed installation and security guides
- Recommend proper server hardening and access controls
- Implement backup and disaster recovery procedures
- Establish monitoring and maintenance schedules

Credential Management:

- Use n8n's built-in credential encryption features
- Implement proper access controls and user management
- Regular rotation of API keys and access tokens
- Clear documentation of credential ownership and responsibilities

Workflow Development Standards

Quality and Maintainability:

- Use consistent naming conventions for nodes and workflows
- Implement proper error handling and retry logic
- Document workflow logic and business requirements
- Version control workflow exports and configurations

Getting Help and Staying Compliant

Official n8n Channels

For Licensing Questions:

- Email: license@n8n.io for specific compliance questions
- Provide detailed descriptions of your intended use case
- Request written confirmation for complex scenarios
- Keep records of all official communications

Community Resources:

- n8n Community Forum for technical support
- Documentation at docs.n8n.io for implementation guidance
- GitHub repository for Community Edition source code

Professional Services

Legal Consultation:

- Software licensing attorney for complex business models
- Contract review for client agreements
- Compliance audit of existing practices
- Risk assessment for business expansion plans

Business Advisory:

- Consulting business development specialists
- Technology transfer and licensing experts
- Professional liability insurance agents
- Industry-specific compliance consultants

Conclusion

Building a successful AI consulting business with n8n is absolutely achievable while maintaining full licensing compliance. The key is understanding that n8n's Community Edition provides tremendous value for legitimate consulting services, but has clear boundaries around hosting and reselling the software itself.

By focusing on client-owned deployments, separating consulting services from software licensing, and maintaining clear documentation of compliance practices, you can build a thriving practice that serves clients effectively while respecting n8n's business model and licensing terms.

Remember that licensing compliance is not just about avoiding penalties—it's about building a sustainable business that can grow and scale while maintaining professional integrity and client trust. When in doubt, err on the side of caution and seek official guidance from n8n's licensing team.

The automation consulting market continues to expand rapidly, and n8n provides an excellent platform for technical professionals to build valuable services for clients. With proper attention to licensing compliance, you can confidently pursue this business opportunity while protecting both your interests and those of your clients.